The demonetization episode was a large shock upon the economy. Even if a cost–benefit analysis showed that the benefits outweighed the costs, the fact that it was a large disruption should have been a consideration in the decision.

China's one-child policy illustrates many themes of this book. It was inappropriate for a government to embark on it, because it constituted social engineering. It was also inappropriate as it involved a high degree of intrusion into the personal space of individuals. In the event, the one-child policy has induced serious problems for China. It illustrates how social engineering often goes wrong: We know too little in order to safely meddle into human society in most areas other than market failures.

This is not a defence of the status quo

Liberal democracies have achieved far-reaching change through small changes over long time periods. We applaud these changes. We favour a world where society evolves in far-reaching ways.

The values and imagination of the *people* should drive the changes of the world, rather than the values and objectives of a few central planners. Respect for each individual takes us to this notion of self-determination, which views the evolution of society as the outcome of millions of thoughts and actions by the people, rather than by a small group of rulers.

Communicate till it hurts

This pursuit of non-intrusiveness, stability and order has a second implication: a bias in favour of communication. We in the world of policy should always copiously talk about what is being done. We should prepare people for what is coming. We should never give out bad surprises. All new policy decisions should be discussed in the public domain, and once a